

Step 4

Identify Root Causes

Based on the revenue and cost analyses, pinpoint the underlying drivers impacting profitability:



Revenue drivers: Factors like pricing pressure, market saturation, competitive disruptions, or recession-induced demand declines.



Cost drivers: Inefficient operations, capacity underutilisation, supplier power dynamics, or workforce-related challenges.

Step 5

Develop Recommendations

Create specific recommendations to address the identified root causes and improve profitability. These may include



Revenue enhancement strategies (e.g., pricing adjustments, market expansion, product innovation).



Cost optimisation initiatives (e.g., process improvements, supplier negotiations, workforce rationalisation).



Operational efficiency programs (e.g., lean manufacturing, supply chain optimisation).



Strategic repositioning or business model pivots.

Step 6

Implement and Monitor

Help the client carry out the suggested solutions and set up ways to track progress, measure results, and make any needed changes.

The Revenues vs Costs framework provides a structured approach to dissecting a company's financial performance, isolating the key drivers, and developing targeted strategies to improve profitability. Its simplicity and versatility make it a powerful tool for consultants in many industries and situations.